



RESEARCH & INSIGHTS HUB

What's Eating Ethereum?

ETH's underperformance among crypto majors has been the subject of significant debate

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Crypto markets have been sluggish over the last few weeks, as the lack of price momentum has weighed on investor confidence. In what's been a largely technical (supply-demand) driven move, the price action has been choppy since the deleveraging event in early August. On a risk-adjusted basis, crypto has been trailing US stocks, which have largely recovered their losses since that time. Institutional players remain fixated on bitcoin and little else, with bitcoin dominance at its highest level (57%) since April 2021.

Among the crypto majors (by market cap), ether (ETH) has been a notable underperformer relative to peers, recently falling 1.6 standard deviations below its three-month average. Many pundits have faulted Ethereum's decline in activity (pushing revenues lower) or ETH's unfavorable token inflation dynamics, which we think is only part of the story. Indeed, we've previously discussed the tradeoffs inherent in Ethereum's layer-2 focused scaling roadmap and the effect that this has had on ETH value.

More than likely, fewer idiosyncratic narratives in this space as well as a limited supply of capital have increased the scrutiny around how Ethereum compares to other smart contract platforms. Our view is that crypto natives are also driving the market at the moment, and this cohort may be crowded into altcoins and other crypto positions that are getting more difficult to exit. This could be leaving wealth mostly stranded, instead of flowing to other parts of the crypto ecosystem. Regardless, for ETH to catch up, we think Ethereum needs a new catalyst to help reignite both developer and investor enthusiasm.

For more details, see our [full report](#).

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